3.1.4 Competitive and concentrated markets

3.1.4.1 Market structures

Content	Additional information
• There is a range of market structures. • Factors such as the number of firms, the degree of product differentiation and ease of entry are used to distinguish between different market structures.	Students are **not** required to draw or use the traditional 'theory of the firm' diagrams.

3.1.4.2 The objectives of firms

Content	Additional information
• Profit is an important objective of most firms. • Firms may also have other objectives such as survival, growth and increasing their market share.	Students should be aware that firms may have a variety of objectives but a detailed knowledge of these objectives is **not** required. However, students should appreciate that the objectives of a firm will affect its behaviour.

3.1.4.3 Competitive markets

Content	Additional information
• The main characteristics of a perfectly competitive market. • In such markets the price is determined by the interaction of demand and supply. • Why profits are likely to be lower in a competitive market than in a market which is dominated by a few large firms.	An understanding of the formal model of perfect competition and the associated diagrams is **not** required.

3.1.4.4 Monopoly and monopoly power

Content	Additional information
• The difference between pure monopoly and monopoly power. • Monopoly power is influenced by factors such as barriers to entry, the number of competitors, advertising and the degree of product differentiation. • Concentration ratios and how to calculate a concentration ratio. • The basic model of monopoly suggests that higher prices and profits and inefficiency may result in a misallocation of resources compared to the outcome in a competitive market. • The potential benefits from monopoly, for example, economies of scale and possibly more invention and innovation.	Students should appreciate that there are few examples of pure monopoly but many firms have monopoly power. A formal diagrammatic analysis of monopoly is **not** required but students should be able to use a demand curve to illustrate that if a monopolist raises the market price above the competitive level, output will fall. They should also be able to use a long-run average cost curve to illustrate the benefits from economies of scale that may result from monopoly. Students should appreciate the various factors which affect the behaviour and performance of firms in a variety of real-world markets.

3.1.4.5 The competitive market process

Content	Additional information
• Firms do not just compete on the basis of price but that competition will, for example, also lead firms to strive to improve products, reduce costs, improve the quality of the service provided.	Students should recognise that many large firms compete vigorously with each other but monopoly power may lead to consumers being exploited.